Securities

Tranches - Tranches

In **Mortgage-Backed Securities (MBS)** and **Asset-Backed Securities (ABS)**, **tranches** refer to the different levels or classes of securities that are created by dividing up the overall pool of loans (like mortgages or other assets) into pieces with different risks and returns. Each tranche offers different rights to the cash flows generated by the underlying loans.

Key Points About Tranches:

- **Tranches** allow investors to choose from different levels of **risk** and **return**.
- Higher-risk tranches typically offer **higher returns**, while lower-risk tranches offer **lower returns** but more stability.
- The division of tranches affects how cash flows from the pool of loans are distributed and how risks like default are allocated.

How Tranches Work:

1. **Senior Tranches (Low Risk)**:
    - These are the **safest** tranches. Investors in senior tranches get **paid first** from the cash flow generated by the underlying loans.
    - They have **lower returns** but offer more protection against **losses** if borrowers default on their loans.
    - Example: In case of loan defaults, senior tranche investors will still be paid until the entire pool's cash flow is depleted.
2. **Mezzanine Tranches (Medium Risk)**:
    - These tranches are in the **middle**. They get paid **after** the senior tranche but **before** the riskiest tranche.
    - They offer **moderate returns** and **moderate risk**.
    - If losses occur, mezzanine investors may start losing money after the senior tranche is fully covered.
3. **Junior or Equity Tranches (High Risk)**:
    - These are the **riskiest** tranches. Investors in junior or equity tranches get **paid last**, only after the senior and mezzanine tranches have received their payments.
    - They offer **higher returns** because they are taking on the most risk.
    - In case of defaults, these investors are the **first** to suffer losses.

Example:

Imagine a pool of home loans packaged into an MBS. The pool generates monthly mortgage payments from homeowners. These payments are split among different tranches:

- **Senior Tranche**: Gets the first slice of the mortgage payments.
- **Mezzanine Tranche**: Gets paid next, but only after the senior tranche has been fully paid.
- **Junior/Equity Tranche**: Gets paid last and absorbs any defaults first. If too many homeowners stop paying their mortgages, investors in this tranche may lose money.

Why Tranches Matter:

Tranches allow different types of investors to choose securities that fit their risk tolerance. **Low-risk investors** can invest in senior tranches for more security, while **high-risk investors** might choose equity tranches for the possibility of higher returns. This structure helps **spread the risk** across different investor groups.